

CHAPTER 5

Managing Your Personal Finances

NCERT Exercise Solutions

The Big Questions	5 Q
Introduction (questions at the start)	1 Q
Think About It · Income (Earnings)	1 Q
Think About It · Budgeting (Planning Expenses)	1 Q
Let's Explore · Budgeting (Planning Expenses)	1 Q
Think About It · Saving	4 Q
Investing (Growing Wealth)	1 Q
Let's Explore · Power of Early Investments	2 Q
Let's Analyse · Stocks (Equity or Shares)	1 Q
Think About It · Mutual Funds	1 Q
Think About It · Borrowing and Credit	2 Q

✨ Try each question yourself first, then check the answer. 💡
answers are samples: write your own.

Independent study aid by Beginners Point. Not an official NCERT publication.

The Big Questions

1 What is personal finance and why is it important for individuals?

✔ ANSWER

Personal finance is the planning and management of a person's money to meet their needs and wants.

It helps us decide how much to spend, how much to save, where to invest and how to prepare for future needs.

Money is an important resource, so it must be used efficiently, e.g. to buy a house or pay for higher education.

2 What are the pillars of personal finance?

✔ ANSWER

- **Income**: money you receive (salary, business income, etc.)
- **Budgeting**: deciding how much to save and spend, on needs and wants
- **Saving**: setting aside money for future needs or emergencies
- **Investing**: putting savings in assets like stocks, mutual funds
- **Protection and risk management**: safeguarding money and assets through insurance and debt management

3 **What are some common savings and investment options?**

✔ ANSWER

- **Fixed deposits (FDs)** in banks and post offices: safe, fixed interest
- Government-backed schemes: **PPF**, **NSC**, **Sukanya Samriddhi Yojana**
- **Bonds**: lending money to the government or companies for regular interest
- **Stocks (shares)**: part-ownership of a company; higher risk, higher returns
- **Mutual funds**: pooled money invested by professional fund managers

4 **How can you protect your savings and assets?**

✔ ANSWER

- **Insurance**: pay a premium; the company pays for covered losses (health, life, general insurance such as motor, property, crop, cattle).
- **Responsible borrowing**: take loans only when needed and repay on time, to avoid a debt burden.
- Choose investments after checking risk, return, time horizon and liquidity.

5 **What is income tax?**

✔ ANSWER

Income tax is a **direct tax** paid on the income a person earns in a financial year (1 April to 31 March).

It is progressive: higher incomes pay higher rates. India uses a **slab system**.

The money funds public services such as schools, hospitals, roads and security.

? Introduction (questions at the start)

? **Have you ever received pocket money or money from relatives during festivals? How do you use it?**

- **Do you spend it immediately or save some of it?**
- **Do you keep your savings in a piggy bank (gullak) or somewhere else?**
- **How do you manage expenses like travel to school, stationery, canteen food?**
- **Have you ever planned your spending to save for something later?**

💡 SAMPLE ANSWER

- I save a part of it and spend a little on things I need.

- I keep my savings in a gullak; some of it my parents put in my bank savings account.
- I keep a fixed amount each week for bus fare and stationery and buy canteen food only sometimes.
- Yes, I saved a little every month to buy a book / to visit my grandparents in the summer break.

🤔 Think About It · Income (Earnings)

1 **Have you ever thought about earning your own money? What kind of skill would you require and which work would you choose?**

💡 SAMPLE ANSWER

Yes. I could teach younger children (tuition) because I am good at Maths.

Skills needed: clear explanation, patience, good subject knowledge.

Later, I could join an 'Earn While You Learn' programme (part-time work, internship or apprenticeship) to earn and gain work experience.

🤔 Think About It · Budgeting (Planning Expenses)

1 **You and your friends need new badminton rackets for a tournament. How would you manage your budget? Would you cut back on**

other expenses, use your savings, or borrow from parents or friends?

💡 SAMPLE ANSWER

- First find the price of the rackets and share the cost among friends.
- Cut back on wants for a few weeks, e.g. fewer canteen snacks.
- Use part of my savings for the rest.
- Borrow from parents only if still short, and repay from pocket money on time.

⭐ Let's Explore · Budgeting (Planning Expenses)

1 **Think of all your expenses and prepare your monthly/weekly budget using the template on Page 122.**

💡 SAMPLE ANSWER

Sample monthly budget (pocket money ₹600):

Expense	Amount (₹)
Travel to school	200
Stationery	100
Canteen food	120
Other (gifts, etc.)	80
Savings	100
Total	600

Check each week that actual spending stays within the budget.

🤔 Think About It · Saving

1 **What would you do if you received ₹100 today? Would you save some or all of it, or spend it right away?**

💡 SAMPLE ANSWER

I would save at least ₹50 in my gullak and spend the rest only on something I really need.

2 **Would you prefer spending the money on a want or a need?**

💡 SAMPLE ANSWER

On a **need** first (e.g. notebooks, bus fare), because needs are necessary; wants can wait until needs are met.

3 **Financial experts often suggest saving first and spending what is left. Do you agree?**

💡 SAMPLE ANSWER

Yes. If we save first, saving actually happens; if we spend first, often nothing is left.

It also builds money for future goals and emergencies (Expenses = Income − Savings).

4 **Do you think individuals with low income can also save? Why or why not?**

💡 SAMPLE ANSWER

Yes. Even a small amount saved regularly grows over time, especially with interest.

By budgeting and cutting unnecessary spending, low-income people can save for emergencies. Small savings schemes help them.

⭐ Investing (Growing Wealth)

? **Priya keeps ₹500 in a piggy bank; after a year she has ₹500. Sameer puts ₹500 in a scheme at 8% interest; after a year he has ₹540. Both are responsible, but are they doing the same thing?**

✔ ANSWER

No. Priya is only **saving**: her money does not grow, and inflation lowers its purchasing power.

Sameer is **investing**: his money earns returns (₹40) and grows.

So saving keeps money aside; investing makes it grow.

⭐ Let's Explore · Power of Early Investments

1 **In Fig. 5.4, the curves are flatter in the beginning and become steeper in later years. Why?**

✔ ANSWER

Because of **compounding**. At first the amount is small, so the interest earned is small.

Each year interest is earned on the new savings and also on interest already earned.

So the yearly growth keeps increasing and the curve becomes steeper later (Bhavisha ends with ₹1,99,635, Dhruv with ₹94,460).

2 **Talk to your parents and find out the fixed deposit rates of their bank.**

💡 SAMPLE ANSWER

Sample: our bank offers about 6.5% to 7% a year on a 1–5 year FD; senior citizens get a slightly higher rate.

(Write the actual rates you find from your parents or the bank's website.)

⭐ Let's Analyse · Stocks (Equity or Shares)

1 **The BSE SENSEX fluctuates over short periods but can go up significantly in the long run. Why do these fluctuations happen?**

💡 SAMPLE ANSWER

Share prices change due to **market conditions**, **company performance** and **broader economic changes**, e.g.:

- good or bad company profits
- economic slowdowns, crises or a pandemic

- interest rate changes, government budget and policies
- world events and investors' fear or confidence

In the long run the economy and companies grow, so the SENSEX rises.

🤔 Think About It · Mutual Funds

1 **"Mutual fund investments are subject to market risks. Please read all scheme-related documents carefully before investing." Why is this disclaimer included?**

✔ ANSWER

Mutual funds invest in shares, bonds and other assets whose prices go up and down.

Returns are not assured and investors may even incur losses.

So investors are warned to understand the risks and the scheme before putting in money.

🤔 Think About It · Borrowing and Credit

1 **Why might a family choose to buy something on EMI even if it costs more in the long run?**

✔ ANSWER

- They may not have the full amount at once (e.g. ₹30,000 for a refrigerator).

- A small fixed monthly payment (₹3,000) fits their budget.
- They can use the item now and keep their savings for emergencies.

2 **Can having too many EMIs affect savings and emergency funds?**

✔ ANSWER

Yes. EMIs must be paid every month, so a large part of income goes to repaying loans and interest.

Little money is left to save, and in an emergency the family may fall into a debt burden.

⭐ Let's Analyse · Personal Income Tax

1 **Sai's taxable income is ₹3,80,000 in a financial year. How much income tax does he have to pay according to the tax slabs?**

✔ ANSWER

Income up to ₹4 lakh has a Nil tax rate.

₹3,80,000 is less than ₹4,00,000.

Sai pays ₹0 (no income tax).

2 **Ask your parents, a relative or a neighbour if they file income tax returns. Make a small**

report on the procedure to file an income tax return.

💡 SAMPLE ANSWER

Sample report:

- Register/log in on the Income Tax e-filing portal using PAN.
- Choose the financial year and the correct ITR form.
- Fill in income details (salary from Form 16, interest, etc.) and deductions.
- Check the tax calculated, pay any tax due, and submit.
- Verify the return (e.g. Aadhaar OTP) within the time limit.

❓ Questions and activities

1 **Why is managing money wisely important for all individuals irrespective of their income?**

✔ ANSWER

- Life is uncertain; emergencies like illness or job loss can come any time.
- Wise budgeting helps people live within their means and avoid debt.
- Saving and investing help reach goals (house, education) and beat inflation.

- Even small incomes go further when spent carefully; high incomes can be wasted without planning.

2 **How can budgeting help people balance their present needs with their future financial goals? Give examples.**

✔ ANSWER

A budget plans in advance how income will be spent, saved and invested.

It controls unnecessary spending (eating out, impulse shopping) so money is left for goals.

Examples: saving ₹500 a month for 6 months to buy a ₹3,000 bicycle; a family fixing monthly amounts for food, rent and school fees while saving for higher education or emergencies.

3 **School Reopening Budget Activity: You have ₹3,000 for the new school year. List items, find prices and prepare a budget within ₹3,000.**

💡 SAMPLE ANSWER

Sample budget:

Expenses	Amount (₹)
School bag	600
Books	700
Uniform and shoes	900
Notebooks	300

Pens	80
Pencils	40
Art supplies	180
Total Expenses	2,800
Savings	200

Total is less than ₹3,000, so I may add one item (e.g. a geometry box ₹150) and still save ₹50.

If the total were above ₹3,000, I would postpone new shoes or art supplies.

4 **Why is saving alone often not enough to build wealth in the long run? How do investments help increase the value of money?**

✔ ANSWER

Money kept at home does not grow, and **inflation** reduces its purchasing power (a ₹1,000 bag may cost ₹1,060 next year at 6% inflation).

Investments (FDs, bonds, shares, mutual funds) earn returns such as interest and dividends.

With **compounding**, returns earn more returns, so money grows faster than inflation over time.

5 **Investment Planning Activity: You saved ₹1,500 from gifts. Calculate possible returns, e.g. ₹500 in a fixed deposit, ₹800 in the stock**

market, ₹200 in gold. Try other combinations and prepare an investment plan.

💡 SAMPLE ANSWER

Note: the example amounts add to ₹1,500. Sample (assumed one-year returns; find actual rates):

Investment	Amount (₹)	Assumed return	Return (₹)
Fixed deposit	500	7%	35
Stock market	800	12%	96
Gold	200	10%	20
Total	1,500		151

- FD: safe, assured return; suitable for a short-term need.
- Stocks: may give the highest return but can also fall; suitable only for the long term.
- Gold: protects against inflation; price also changes.

Plan: keep more in FD for safety and some in stocks/mutual funds for growth.

6 **How does inflation affect the value of money over time? Why should people consider inflation while making financial decisions?**

✔ ANSWER

Inflation is the rise in prices over time, so the same money buys fewer goods: its purchasing power falls.

E.g. at 6% inflation a ₹1,000 bag may cost about ₹1,060 next year.

So people should invest where returns are higher than inflation and plan future goals at higher future costs.

7 **Is taking higher risks always the best way to earn higher returns? How should a person decide which investment option is most suitable?**

✔ ANSWER

No. Higher-risk investments **may** give higher returns, but they can also cause losses.

A person should choose according to:

- their financial goals
- how much risk they can take
- the time horizon (when they will need the money)
- liquidity (how quickly they can get cash)

E.g. FD for safety and short-term needs; shares or mutual funds for long-term goals.

8 **Why do people buy insurance even though they may never face a major loss? How does insurance provide financial security?**

✔ ANSWER

Life is uncertain; illness, accidents or damage can happen any time and cost a lot.

Insurance works on **risk sharing**: many people pay premiums into a pool, and those who suffer a loss are paid from it.

It protects savings, gives support in emergencies, helps families recover from setbacks, and encourages regular saving through premiums.

9 · Step 1 **Your family receives ₹1,00,000. Prepare a budget: allocate it among Savings, Education, Household expenses, Health and emergency fund, Farm or business investment, Home improvement, Festivals and recreation, Other.**

💡 SAMPLE ANSWER

Category	Amount (₹)	Percentage (%)
Savings	20,000	20%
Education	15,000	15%
Household expenses	25,000	25%
Health and emergency fund	10,000	10%

Farm or business investment	15,000	15%
Home improvement	7,000	7%
Festivals and recreation	5,000	5%
Other	3,000	3%
Total	1,00,000	100%

9 · Step 2

Classify each expense as a need or a want and give a reason: school fees, new mobile phone, better seeds or livestock feed, festival celebrations, water storage tank.

💡 SAMPLE ANSWER

- School fees: **need**, education is essential for the future.
- New mobile phone: **want**, if the old phone still works (can be postponed).
- Better seeds or livestock feed: **need**, they keep the family's income going.
- Festival celebrations: **want**, nice to have; keep the spending small.
- Water storage tank: **need**, water is a basic necessity.

9 · Step 3 **Your family saves ₹30,000 at 8% compound interest per year. Using $A = P(1 + r)^n$, calculate (1) the amount after 5 years, (2) the interest earned.**

✔ ANSWER

P = ₹30,000, r = 8% = 0.08, n = 5

$A = 30,000 \times (1.08)^5$

$(1.08)^5 = 1.4693$ (approx.)

$A = 30,000 \times 1.469328 = ₹44,079.84$

1. **Amount after 5 years ≈ ₹44,079.84** (about ₹44,080)

2. **Interest = 44,079.84 − 30,000 = ₹14,079.84** (about ₹14,080)

9 · Step 5 (1) **What percentage of the money did you save?**

💡 SAMPLE ANSWER

In my budget I saved ₹20,000 out of ₹1,00,000 = **20%**.

9 · Step 5 (2) **Which expenses were needs and which were wants?**

💡 SAMPLE ANSWER

Needs: education, household expenses, health and emergency fund, farm/business investment, savings.

Wants: festivals and recreation, most of home improvement and 'other'.

9 · Step 5 (3) **How can savings improve a family's financial security?**

✔ ANSWER

Savings help in emergencies (illness, crop loss) without borrowing, pay for future goals like education, and can be invested to grow.

9 · Step 5 (4) **How does compound interest help money grow?**

✔ ANSWER

Interest is earned on the principal and also on interest already earned.

E.g. ₹30,000 at 8% becomes about ₹44,080 in 5 years: ₹14,080 interest, more than 5 × ₹2,400 = ₹12,000 of simple interest.

The longer the money stays invested, the faster it grows.

9 · Challenge **Create a pie chart showing how the ₹1,00,000 was allocated across different categories.**

💡 SAMPLE ANSWER

Angle of each slice = percentage × 3.6°:

Category	%	Angle

Savings	20	72°
Education	15	54°
Household expenses	25	90°
Health and emergency fund	10	36°
Farm or business investment	15	54°
Home improvement	7	25.2°
Festivals and recreation	5	18°
Other	3	10.8°
Total	100	360°

Draw a circle and mark these angles with a protractor; label and colour each slice.

🎉 **Chapter 5 done! Revise the answers once more tomorrow.**